and military assistance be stepped up; (3) that he be given free hand to pick his own Cabinet.

Sent Department, pouched Peiping.

Stuart

893.248/11–1748 : Telegram

The Ambassador in China (Stuart) to the Secretary of State

NANKING, November 17, 1948—7 p. m.
[Received November 18—12:08 a. m.]

2246. Following is Taipei's 160, November 15, 5 p. m.

"Large USMAG [22] group just arrived here indicate present intentions transfer Chengtu air group here about November 20, and probable further transfers later other groups; asked my opinion all phases this policy. I replied to housing, et cetera questions pointing out critical, but said policy for top level decision.

My opinion this influx with presumed accompanying movement Chinese units bound provoke extensive local reactions to press, has already shown interest. Believe this will be played as last ditch support crumbling regime by Formosans and as intention take over by Communists. My opinion our freedom of action in crisis would be seriously jeopardized this move, which I assume has not yet received final state approval.

Inquiries local government et cetera already provoking rumors. Request instructions."

Following our reply:

"Chinese Government has taken firm decision transfer Chengtu air group and in fact other elements air force to Taiwan. There appears to be no appropriate action we could take to prevent this. JUSMAG will not accompany such movement though it is possible personnel remaining JUSMAG Nanking at time Communist occupation may seek temporary lodging south Taiwan where adequate housing and other facilities alleged available.

We realize implications and possible repercussions influx Taiwan ranking Chinese officials, but know of no action we can take to prevent. Action contemplated by JUSMAG in emergency should not, in our opinion, affect our freedom action vis-à-vis Government Taiwan.

It seems evident to us that not only does CAF plan its principal bases in Taiwan in event fall Nanking, but our information indicates Chinese Navy likewise will base south Taiwan. Given navy and air force, it might be Taiwan could be held for almost indefinite period against possible Communist attack. Should expected influx into Taiwan of ranking Chinese officials from mainland take place, we can expect disturbances among Taiwanese which may assume considerable proportions.

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[22] U. S. Military Advisory Group.

Your telegram and this reply repeated Department. Would appreciate your comments."

STUART

894A.01/11–1748 : Telegram

The Consul General at Shanghai (Cabot) to the Secretary of State

SHANGHAI, November 17, 1948—8 p. m.
[Received 9:37 p. m.]

2449. Formosan leader called Consulate General today and asked following be passed American authorities with request it receive highest degree protection: In event fall Nanking there will be move by Taiwanese patriots to establish independence and this uprising will not be Communist-inspired as Generalissimo and his Government will claim but will represent effort Taiwanese free themselves from oppression.

Informant stated he understood from recent press reports American General Headquarters would be removed Taiwan and his concern for American Government appreciate need for strict neutrality this period. Removal National Government officials or Chinese Armed Forces to Taiwan by American Naval vessels would be interpreted by Taiwanese as breach neutrality and act to thwart independence movement.

He was informed if American civilian and military lives imperiled measures would certainly be taken by American Government to protect them. He replied Taiwanese would see no harm came to any Americans.

He stated political Vice Minister of Justice Hung Lu-tung and several other high ranking members National Government asked for his participation and help in setting up National Government at Taiwan which it anticipated doing only in event of assurances magnified American aid. Without this assurance he stated National Government would not proceed Taiwan as it would find itself "trapped" on unfriendly ground.

Sent Department 2449; pouched Nanking 1855, Taipei 133, Hong Kong 141.

CABOT

Government to place the onus of the current situation entirely on the United States. We also believe that, if it became necessary, he might well find it possible to accommodate himself to changed circumstances.

STUART

893.00/11–2348 : Telegram

The Consul General at Taipei (Krentz) to the Secretary of State

TAIPEI, November 23, 1948—9 a. m.
[Received November 23—1 : 01 a. m.]

87. [For] Director FE.[46] Deptel 59.[47] My 85.[48] In exceptional circumstances this not sent Embassy [and] must rely Department inform it such way protect sources.

Wei [49] made extraordinary proposal or feeler, said of course this must not get Nanking and leaving me free make no answer, said perhaps I could convey to you. Apropos autonomy, said I have resources including metal put Taiwan hard currency basis, revive foreign trade, invite US business participate. Would issue low face value paper yen backed hard metal with silver token coins, said I've got resources but initially must have psychological backing such as say 10 million US silver loan public or private. I can repay at once tea, sugar, pineapple, etc., low world market prices, I can end Government controls, can control Taiwan's NRC [50] enterprises, can establish free economy indefinitely maintain staples here. For good China itself Taiwan must not go down and Generalissimo reconciled this view, if I can show him backing he will make full gesture to save island. Time however is short, if war news correct only few weeks left to Generalissimo.

Obvious if Wei can do (and think possible) what he says, what he wants is not money but public direct US loan deal for psychological purposes.

[One paragraph of a personal nature is omitted.]

I suspect Wei feels we will not recognize a remnant regime and also not recognize Communist regime, seems prepared make bids, accept terms anything avoid next suggested alternative.

I feel presence Generalissimo or any substantial part his Government here cannot but endanger peace, security, consequences reaching far future, I feel this should be made clear. If this true I convinced it is; it would not my opinion be inconsistent traditional US policy

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[46] Office of Far Eastern Affairs.
[47] November 16, not printed.
[48] November 22, not printed.
[49] Wei Tao-ming, Chairman of the Taiwan Provincial Government.
[50] National Resources Commission.

integrity China instruct SCAP [51] as custodian Japanese empire take over prevent threat to peace, hold in trust future legitimate government true real intent Cairo declaration.[52]

Our military would probably not want a civilian Chinese local government such circumstances but I believe we might combat inevitable USSR line by keeping present predominantly civil relatively liberal Chinese regime in nominal power, taking in Formosans, maintaining fairness bound long run redound our credit. There is not Formosan element capable acting under military government.

The only alternative somewhat dangerous seems maintain Consular relations present Government purged in no uncertain terms Nanking connections.

My strong opinion, JUSMAG should not come here even as refugees unless we decide must recognize a government here and prepared Taiwan consequences.

Would like urgent any instructions possible.

KRENTZ

[illegible]

The Consul General at Peiping (Clubb) to the Secretary of State

PEIPING, November 23, 1948.
[Received November 23—3: 49 a. m.]

484. Local press today reports voluntary withdrawal yesterday Nationalist Forces from Paoting. Communist north Shensi radio last night announced occupation that point by Communist forces same day. Sent Department 484, repeated Nanking 714, and Tientsin.

CLUBB

[illegible]

The Ambassador in China (Stuart) to the Secretary of State

NANKING, November 23, 1948—3 p. m.
[Received November 23—11: 15 a. m.]

2287. Statement Central Executive Committee CCP, contained in Embtel 2280, November 22, constitutes by far strongest statement yet made by Chinese Communists on American aid to China.

We do not look upon this as ultimatum but rather as Far Eastern counterpart of same kind of tough talk we have grown accustomed to hear during past 3 years in USSR and eastern Europe. We believe

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[51] Supreme Commander, Allied Powers, Japan (General of the Army Douglas A. MacArthur).

[52] *United States Relations With China*, p. 519.

foreign correspondents are to be subjected to the guidance of local military or political authorities. 3. Communication facilities to points outside liberated China will be as extensive as feasible. 4. Full freedom to report true facts will be given. 5. Under mutually agreeable arrangements, it is hoped that the reception and distribution of foreign news agencies' services may be possible. 6. Reasonable working conditions will be made available for foreign staff correspondents in liberated China.

Casey

894A.00/12–1748 : Telegram

The Ambassador in China (Stuart) to the Secretary of State

NANKING, December 17, 1948—9 p. m.
[Received December 18—2:55 a. m.]

2545. We have given careful consideration to Shanghai telegrams 2449, November 17 to Department, repeated Nanking 1855, and 2585 of December 1 to Department, repeated Nanking 1951, and have following comments re their implication with respect American policy toward Taiwan. Reports from Consulate General, Taipei, discount influence Formosan leader referred to in Shanghai's 2449 and suggest little prospect for success of any rebellion under such leadership (see Taipei's 79 [*89*] December 2 [45] repeated Nanking 172).

It must be admitted, however, that Chinese activities in Taiwan, since liberation from Japs, have tended to dissipate enthusiasm with which Taiwanese anticipated return to Chinese sovereignty. In present national crisis CAF and Navy are already in process transferring their major installations to Taiwan. Large numbers well-to-do Chinese have already established themselves on island and others, who have means to do so, and can secure transportation, will doubtless do likewise. It is possible that other sections Chinese Government itself will evacuate to island. This process would undoubtedly create growing discontent among native elements and it may result in small abortive uprisings. Downfall Nationalist Government might be signal for even wider spread insurrection. We assume, however, that Chinese possess necessary force on island to suppress any such activities.

As Department is aware, CAF has already requested American assistance to move its heavy equipment from Shanghai to Formosa. (See Deptel 2082, December 2 to Shanghai, repeated Nanking 1759, and Embtel 2443, December 7, repeated Shanghai 1227 [46]). It is obviously in our interest to keep this equipment from falling into

[45] Not printed.
[46] Both telegrams are printed in vol. VIII, "U.S. Military Assistance to China" (Ch. IV).

Communist hands. This raises problem of degree we are prepared to go in assisting Chinese movement to Taiwan. This is related to larger problem of American assistance to Nationalist Government remnants in peripheral areas such as Taiwan, Canton area, Yunnan, Szechuan and northwest should Yangtze valley, as appears likely, fall under Communist domination.

Problem of Taiwan presents, however, certain differences from other peripheral areas. Inhabitants, after more than generation of Japanese rule and their geographic detachment from the mainland, have developed political sense of autonomy which, if anything, has been strengthened since war by Chinese maladministration. Despite commitment of Cairo declaration,[47] Taiwan is still legally part of Japanese empire and occupied territory. It could therefore be given somewhat different treatment from peripheral areas on mainland. Further, it is more directly related to American security and strategic plans. In event of political and military developments on Chinese mainland involving establishment of regime hostile to it, it is probable we should be loath to see island remain under authority new Chinese Government. Proper course would probably lie in holding Taiwan in trust for people of China under UN with US as administering trustee until ratification Japanese peace treaty. If, as we assume, Taiwan is directly related to American defense plans, then preservation of the considerable good will which we now have among Taiwanese is an important consideration and should be taken into account in any decision we make. Our support of migrating Chinese elements and central authority will lose us much of this sympathy.

While it is obvious that we can do nothing to halt this migratory trend, we may well be called upon from time to time to assist (as in case of movement of air force equipment out of Shanghai) in transport of official equipment or personnel from mainland to Taiwan in accordance with Nationalist Government's present or future plans to transfer part of its administration there. We feel that, in view of delicate relationship between Taiwanese and Chinese Nationalist Government, US Government should avoid, through action of any of its agencies in China, giving appearance of assisting transfer of authority of Nationalist Government to Taiwan. Views of Department on this particular aspect of Chinese policy would be useful since requests for our facilities to transport fuel, etc., may again arise as military situation deteriorates and Taiwan becomes an increasingly attractive safe haven for Chinese officialdom.[48] Repeated Shanghai 1282, Taipei 97.

STUART

[47] *Foreign Relations*, The Conferences at Cairo and Tehran, 1943, p. 448; or *United States Relations With China*, p. 519.

[48] See telegram No. 1810, December 11, to the Ambassador in China, vol. VIII, "U.S. Military Assistance to China" (Ch. IV).

of contrary instructions from their own Governments was to remain in Nanking.

With regard to first sentence urtel, I recall no specific mention of southern tip Formosa. Taipei and Canton were only two likely points of transfer mentioned, according my recollection.

STUART

893.00/11-648 : Telegram

The Acting Secretary of State to the Ambassador in China (Stuart)

WASHINGTON, November 16, 1948—7 p. m.

1639. Reurtel 2128 Nov 7. As you state in final para urtel 2117 Nov 6,[10] in event Gimo and/or his Govt leave Nanking, you should seek Dept instructions. In so doing you should inform Dept your views, particularly with respect to extent such Govt represents major factor in terms influence, following, and territory and forces under its control or to extent it consists simply of Gimo and personal entourage. If you are approached by Chi Govt or your diplomatic colleagues re this subject, you should say matter must be referred to Washington for decision, which would have to be made in light of developments and the then existing situation. You may confidentially inform chiefs foreign missions who discussed this question with you Nov 3 that you would expect inform them re US Govt decision prior taking any action pursuant final decision this Govt. Dept will give similar reply Brit, French and Canadian Embs which have already approached us this regard but will indicate that they will be informed prior to issuance any definite instructions to Emb Nanking.

LOVETT

893.00/11-1548 : Telegram

The Acting Secretary of State to the Consul General at Taipei (Krentz)

WASHINGTON, November 16, 1948—7 p. m.

58. Apropos of your 81 Nov 15,[11] Dept has received unconfirmed reports indicating that Taipei is being thought of as possible point to which remove ChiGovt or at any rate to which substantial number of Govt personnel could repair. Have you seen any manifestations on spot of preparations to these ends? Has Governor Wei[12] given you any indication of his thinking or any independent planning on his part if for example the Govt moves to Canton and is subsequently

[10] *Ante*, p. 543.
[11] Not printed.
[12] Wei Tao-ming.

engulfed? Dept does not intend that you should raise this matter with Governor Wei but merely seeks any info you may have and would welcome any suggestions you may have to offer.[13]

LOVETT

893.00/11–1948 : Telegram

The Consul General at Taipei (Krentz) to the Secretary of State

Taipei, November 19, 1948—9 a. m.
[Received November 19—3 : 22 a. m.]

84. Reference A–47,[14] regarding possible moves from Nanking, a high officer unconnected Whampoa clique forecasts Fukien on basis General Li Liang-yung, recently made Governor there, would be loyal to end.

If information regarding Navy transfer Taiwan correct, might indicate plan hold Taiwan in orbit of old Central Government while avoiding legal question *de facto* sovereignty here.

KRENTZ

[illegible]

The Ambassador in China (Stuart) to the Secretary of State

NANKING, November 29, 1948—2 p. m.
[Received November 29—7 : 04 a. m.]

2355. French Ambassador informs us in most strict confidence that Vice Foreign Minister George Yeh told him informally that he had been charged with arranging for transportation and accommodation of Diplomatic Corps when Government moves to new capital. He was either unaware or would not reveal place to which Government plans to remove. As this is first intimation of realization that Government may have to move, we are investigating and hope report further.

STUART

[illegible]

The Ambassador in China (Stuart) to the Secretary of State

NANKING, November 29, 1948—4 p. m.
[Received November 29—7 : 22 a. m.]

2356. Our best information confirms our 2355, November 29 that important branches Government will move Canton and certain less important organs to Chungking. No date for removal has been set.

STUART

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[13] The Consul General at Taipei replied in telegram No. 83, November 18 3 p. m.: "No signs preparations any kind." (893.00/11–1848)

[14] Airgram No. A-47, November 8, from the Consul General at Taipei, not printed.